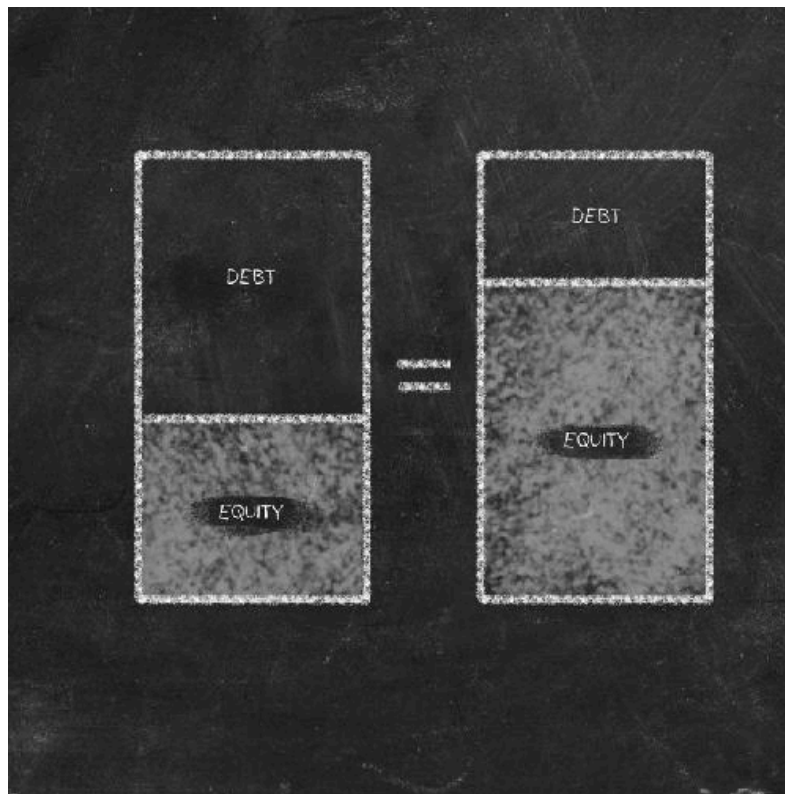


Financing firms



Traditionally, a firm can raise money through borrowing or through selling shares (equity). The Modigliani-Miller theorem states that the way in which a firm finances itself has no bearing on its value. The idea is that when markets are efficient and investors rational, all that matters is the profit that a firm makes, and it is this alone that determines its value.

One of the authors of the theorem explained it using the analogy of a firm as a vat of whole milk. The farmer could sell the whole milk (corresponding to pure equity financing – the sale of shares). Alternatively, the farmer could separate out the cream and sell this at a higher price (analogous to the firm financing itself through borrowing). However, just as skimming cream off the whole milk leaves less valuable skimmed milk, so borrowing makes the firm's shares less attractive, offsetting any gain. Like the farmer deciding the split between cream and

skimmed milk, the firm does just as well whatever combination of debt and equity it decides on.